QUIZ

HOW SMART ARE YOU?

Do you know all about personal finance? Find out if you are as smart as you think you are

BEGINNER

Q1. The goal of a budget is to save more than you spend

a. True b. False

Q2. People keep a personal budget to help them



a. Earn promotions at work
b. Set, reach financial goals
c. Buy with credit
d. Buy anything they want

Q3. Which action is a financial pitfall?

a. Installing antivirus on your laptop
b. Using a secure network when working at a cafe
c. Giving information to someone who claims to be a bank teller
d. Renting your house

Q4. Who among the following would benefit most from a personal budget?

a. Ram carefully keeps track of his expenses
b. Sita spends less than she earns
c. Ravi is saving for a major purchase
d. Raj does not have enough money to pay bills



INTERMEDIATE

Q1. Which of the following is a financial mistake?

a. Getting a large tax refund
b. Using a budget to track where your money goes
c. Paying the full amount on your credit card bill
d. Save money first, then spend the remaining

Q2. When might it be a good idea to see a financial advisor?

a. When you're successful in reaching your financial goals
b. If you get married or your tax status changes
c. You're on track towards achieving your retirement
d. If your salary remains relatively the same

Q3. When lending money to friends or relatives:



a. Be firm and clear in your communication
b. Figure out ways you can help (pay for school fee)
c. Get everything in writing
d. All of the above

Q4. What is the risk of co-signing a loan?

a. You are likely to get a higher APR
b. You have a shorter loan term
c. You become the primary borrower on the loan
d. You may be held responsible for the debt

EXPERT

Q1. Why isn't getting a large tax refund the best money habit?



a. You're withholding the right amount from your paycheck
b. You could be putting that money towards savings/ retirement
c. You earn interest on the refund
d. You have access to that money in case of an emergency

Q2. How can identity theft impact you?

a. Rejection for new lines of credit
b. You may get new credit card offers in the mail
c. Get a lower interest rate on an existing loan
d. ID theft doesn't impact you, only your credit score

Q3. Endowment Effect is the tendency to assign more value to things we already own compared to?

a. Things purchased in the past
b. Things purchased on credit
c. Things we could own
d. Things that we have sold

Q4. What strategies do predatory lenders use to attract customers?



a. No collateral is asked
b. Quick access to cash
c. Credit score is not taken into consideration
d. All of the above

Flip the page to see the answers

BEGINNER
1. a. True
2. b. Set, reach financial goals
3. c. Give information to someone who claims to be a bank teller
4. d. Raj does not have enough money to pay bills

INTERMEDIATE
1. a. Getting a large tax refund
2. b. If you got married or your tax situation changes
3. d. All of the above
4. d. You may be held responsible for the debt

EXPERT
1. b. You could be putting that money towards savings/ retirement
2. a. Rejection for new lines of credit
3. c. Things we could own
4. d. All of the above